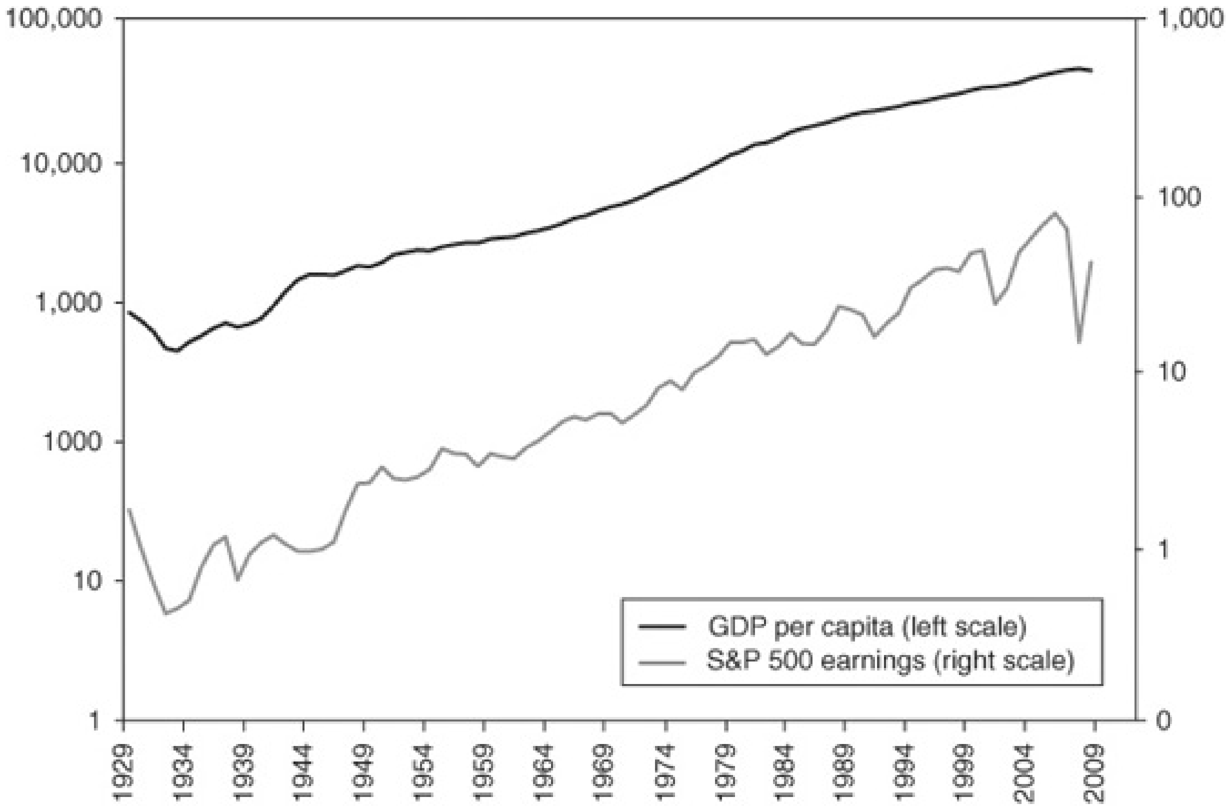
3. *Valuation change.* The valuation is the price that investors are willing to pay for $1 worth of earnings. If investors believe that the growth in real corporate earnings will increase, they will pay more for the anticipated earnings stream. Thus, the ratio of price to earnings (P/E) increases. If economic conditions decline, the P/E of stocks typically falls as prices fall. The changing valuation affects overall investment return, but it does not have any effect on dividend payments.

Forecasting earnings growth can be accomplished using GDP per capita data. GDP per capita is the sum total of all goods and services produced in the United States during the year divided by the population. There is a direct and consistent relationship between GDP per capita growth and corporate earnings growth. Figure 11-8 clearly illustrates this relationship.

FIGURE 11-8

S&P 500 Earnings Growth is Highly Correlated with Per Capita GDP Growth



The long-term correlation between annual GDP per capita growth and S&P 500 earnings growth has been over +0.9. The correlation is higher if